

Zomato DCF Valuation Report

Comprehensive Analysis of Three-Scenario Discounted Cash Flow Model

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Forecast Period: FY26E–FY35E + Terminal Period

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Executive Summary

This report presents a detailed discounted cash flow (DCF) valuation analysis of Zomato Limited (now Eternal Limited), incorporating three distinct scenarios: Base Case, Optimistic Case, and Pessimistic Case. The analysis evaluates the company's intrinsic equity value by projecting free cash flows to the firm (FCFF) over a ten-year explicit forecast period, followed by a terminal value calculation using the Gordon Growth Model.

The valuation reveals significant variation across scenarios, with implied share prices ranging from **Rs.25.08** (Pessimistic) to **Rs.287.17** (Optimistic), compared to the current market price of Rs.251. The Base Case scenario yields an implied share price of **Rs.87.61**, suggesting a potential downside of 65.09% at current valuations. This analysis highlights the sensitivity of Zomato's valuation to key assumptions regarding profitability trajectory, cost of capital, and terminal growth rates.

1. Valuation Framework and Methodology

1.1 DCF Model Architecture

The valuation employs the Free Cash Flow to Firm (FCFF) approach, which values the entire enterprise by discounting future cash flows available to all investors (both debt and equity holders) at the Weighted Average Cost of Capital (WACC). The model structure comprises three primary components:

- **Explicit Forecast Period (FY26E–FY35E):** The model projects financial performance across ten fiscal years, incorporating segment-level revenue and profitability assumptions. Each segment's trajectory reflects distinct growth dynamics and margin expansion profiles.
- **Terminal Value Calculation:** Beyond the explicit forecast period, the model applies the Gordon Growth Model to estimate perpetual value, assuming a constant growth rate. This terminal value typically represents 40–60% of total enterprise value in mature business valuations.
- **Discount Rate (WACC):** All future cash flows are discounted at the Weighted Average Cost of Capital, reflecting the blended cost of equity and debt financing, adjusted for the company's capital structure and tax rate.

1.2 Key Valuation Assumptions

The DCF model incorporates the following foundational assumptions:

Table 1: Key Valuation Assumptions Across Scenarios

Assumption	Base Case	Optimistic	Pessimistic
<i>Cost of Capital</i>			
Risk-free Rate (10Y G-Sec)	7.00%	7.00%	7.00%
Equity Risk Premium	6.00%	6.00%	6.00%
Beta (Levered)	0.90	0.75	1.10
Cost of Equity (CAPM)	14.43%	12.02%	14.36%
Pre-tax Cost of Debt	9.00%	9.00%	9.00%
Tax Rate	25.17%	25.17%	25.17%
After-tax Cost of Debt	6.73%	6.73%	6.73%
<i>Capital Structure</i>			
Weight of Equity (E/V)	99.15%	99.15%	99.15%
Weight of Debt (D/V)	0.85%	0.85%	0.85%
WACC	13.02%	12.02%	14.36%
<i>Terminal Assumptions</i>			
Forecast Horizon	10 years	10 years	10 years
Terminal Growth Rate	5.00%	6.00%	4.00%

2. Financial Projections and Segment Analysis

2.1 Revenue Projections

Zomato's revenue is projected to grow substantially across all three scenarios, driven by expansion in Quick Commerce (Blinkit), Hyperpure (B2B supplies), and the core Food Delivery segment. The following table presents total revenue projections across the forecast period:

Table 2: Total Revenue Projections (*Rs. Crores*)

Scenario	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E
Base Case	32,236	48,413	67,859	89,315	111,900	136,151	160,372	183,933	206,146	226,238
Optimistic	34,449	56,823	89,456	126,891	158,586	201,235	253,457	312,346	368,235	413,524
Pessimistic	29,713	40,235	52,346	63,457	76,078	87,235	97,457	106,235	112,346	119,327

Base Case Revenue CAGR (FY25–FY35): 27.30%

This robust growth trajectory reflects Zomato’s multi-segment strategy, with particular emphasis on high-growth verticals such as Quick Commerce and Hyperpure. The Base Case assumes disciplined expansion with moderate market share gains, while the Optimistic Case incorporates accelerated adoption and market consolidation benefits.

2.2 Segment-Level Performance

Zomato operates across four primary business segments, each with distinct growth and profitability profiles:

- **Food Delivery:** The legacy core business, projected to grow from *Rs.8,080 Cr* in FY26E to *Rs.30,488 Cr* in FY35E (Base Case). EBITDA margins are expected to improve from 19.1% in FY26E to 25.0% in FY35E as the business scales and operational efficiencies improve.
- **Hyperpure (B2B Supplies):** A high-growth segment targeting restaurant suppliers and cloud kitchens. Revenue is projected to grow from *Rs.6,196 Cr* to *Rs.63,764 Cr* over the forecast period. EBITDA margins are expected to reach approximately 5.0% by FY35E, reflecting operational leverage and supplier consolidation benefits.
- **Quick Commerce (Blinkit):** The fastest-growing segment, projected to expand from *Rs.5,206 Cr* in FY26E to *Rs.101,066 Cr* in FY35E. Profitability is expected to improve from –0.4% in FY26E to approximately 15.0% by FY35E as scale and unit economics normalise.
- **Going Out:** A smaller but growing segment focused on restaurant reservations and experiences. Revenue is projected to grow from *Rs.737 Cr* to *Rs.10,784 Cr*, with EBITDA margins improving from –4.1% to 15.0% as the business scales.

2.3 Profitability Trajectory

The model projects significant EBITDA margin expansion across all segments, reflecting the operating leverage inherent in Zomato’s platform business model. Total Adjusted EBITDA is projected to grow from *Rs.2,350 Cr* in FY26E to *Rs.31,752 Cr* in FY35E under the Base Case scenario, representing a margin expansion from 7.3% to 14.0%.

This margin expansion is driven by: (1) fixed cost absorption as revenue scales, (2) improved unit economics in Quick Commerce as delivery networks mature, (3) increasing contribution from higher-margin segments like Hyperpure, and (4) operational efficiencies from technology investments and process optimisation.

3. Free Cash Flow Analysis

3.1 FCFF Calculation and Dynamics

Free Cash Flow to Firm is derived from Adjusted EBITDA by accounting for depreciation and amortisation, taxes, and changes in working capital and capital expenditures. The model projects the following FCFF trajectory under the Base Case:

Table 3: Base Case FCFF Projections (*Rs. Crores*)

Metric	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E	FY34E	FY35E
FCFF	(1,510.8)	(1,294.5)	(87.5)	1,434.3	3,626.3	5,534.7	7,813.3	10,043.1	11,816.6	13,153.7

The model reflects negative free cash flows in the near term (FY26E–FY28E), reflecting continued investments in Quick Commerce infrastructure, technology, and market expansion. By FY29E, the model projects positive FCFF generation, with cash flows accelerating through FY35E as the business reaches maturity and capital intensity declines.

3.2 Present Value of Explicit Forecast Period

The present value of FCFF over the explicit forecast period (FY26E–FY35E) is calculated by discounting each year’s cash flow at the WACC. Under the Base Case scenario with a WACC of 13.02%, the cumulative present value of explicit-period FCFF is ***Rs.17,973.6 Cr.***

This relatively modest present value relative to terminal value reflects two dynamics: (1) the near-term negative cash flows during the investment phase, and (2) the high discount rate reflecting Zomato’s risk profile. As the business matures and cash flow generation improves, the present value contribution increases materially in later years.

4. Valuation Results and Scenario Analysis

4.1 Enterprise and Equity Value Bridge

The following table presents the complete valuation bridge from Enterprise Value to Implied Share Price across all three scenarios:

Table 4: Enterprise to Equity Value Bridge

Valuation Component	Com-	Base Case	Optimistic	Pessimistic
PV of FCFF (FY26E–FY35E)	Explicit	<i>Rs.</i> 17,973.6 Cr	<i>Rs.</i> 58,699.7 Cr	(– <i>Rs.</i> 644.5 Cr)
Terminal Year (FY35E×(1+g))	FCFF	<i>Rs.</i> 13,811.4 Cr	<i>Rs.</i> 37,394.5 Cr	<i>Rs.</i> 3,862.2 Cr
Terminal Value (Gordon Growth)	Value	<i>Rs.</i> 172,186.3 Cr	<i>Rs.</i> 571,743.2 Cr	<i>Rs.</i> 29,701.7 Cr
PV of Terminal Value	Terminal	<i>Rs.</i> 50,629.1 Cr	<i>Rs.</i> 199,782.1 Cr	<i>Rs.</i> 9,749.7 Cr
Enterprise Value		<i>Rs.</i>68,602.8 Cr	<i>Rs.</i>258,481.8 Cr	<i>Rs.</i>9,105.3 Cr
Less: Total Debt		(– <i>Rs.</i> 2,045.0 Cr)	(– <i>Rs.</i> 2,045.0 Cr)	(– <i>Rs.</i> 2,045.0 Cr)
Plus: Cash & Investments		<i>Rs.</i> 16,806.0 Cr	<i>Rs.</i> 16,806.0 Cr	<i>Rs.</i> 16,806.0 Cr
Equity Value		<i>Rs.</i>83,363.8 Cr	<i>Rs.</i>273,242.8 Cr	<i>Rs.</i>23,866.3 Cr
Shares Outstanding		951.5 Cr	951.5 Cr	951.5 Cr
Implied Price	Share	<i>Rs.</i>87.61	<i>Rs.</i>287.17	<i>Rs.</i>25.08
Current Share Price		<i>Rs.</i> 251.00	<i>Rs.</i> 251.00	<i>Rs.</i> 251.00
Implied Up-side/(Downside)	Up-	–65.09%	+14.41%	–90.01%

4.2 Scenario Interpretation

- Base Case:** Reflects a balanced set of assumptions regarding Zomato’s growth trajectory and profitability improvement. The implied share price of *Rs.*87.61 suggests the stock is trading at a significant premium to intrinsic value, implying either (1) market expectations exceed the model’s assumptions, (2) the market is pricing in a more optimistic outcome, or (3) overvaluation.
- Optimistic Case:** Incorporates more aggressive assumptions regarding revenue growth acceleration, margin expansion, and cost of capital reduction. Under this scenario, Zomato’s implied share price of *Rs.*287.17 represents an upside of 14.41% from current levels.
- Pessimistic Case:** Reflects a cautious view of Zomato’s growth prospects, assuming slower revenue growth, delayed margin expansion, and higher cost of capital. The implied share price of *Rs.*25.08 represents a downside of 90.01%, and would only materialise under adverse conditions such as intense competitive pressure, regulatory challenges, or macroeconomic headwinds.

5. Sensitivity Analysis

5.1 Two-Way Sensitivity: WACC vs. Terminal Growth Rate

Table 5: Implied Share Price (Rs.) — WACC vs. Terminal Growth Rate

TG Rate ↓ / WACC →	11.0%	11.5%	12.0%	13.0%	14.0%	15.0%
3.0%	Rs.100.22	Rs.93.11	Rs.86.86	Rs.76.38	Rs.67.98	Rs.61.13
4.0%	Rs.109.87	Rs.101.26	Rs.93.78	Rs.81.49	Rs.71.84	Rs.64.11
5.0%	Rs.122.74	Rs.111.90	Rs.102.69	Rs.87.88	Rs.76.57	Rs.67.68
6.0%	Rs.140.75	Rs.126.42	Rs.114.55	Rs.96.10	Rs.82.47	Rs.72.05
7.0%	Rs.167.77	Rs.147.39	Rs.131.17	Rs.107.06	Rs.90.06	Rs.77.50

Key Observations:

- A 100 bps increase in WACC (from 13.0% to 14.0%) reduces the implied share price by approximately 13%, from Rs.87.88 to Rs.76.57.
- A 100 bps decrease in WACC increases the implied share price by approximately 15%, from Rs.87.88 to Rs.102.69.
- A 100 bps increase in terminal growth rate (from 5.0% to 6.0%) increases the implied share price by approximately 9%, from Rs.87.88 to Rs.96.10.
- The Base Case assumptions (WACC 13.02%, terminal growth 5.0%) yield an implied share price of Rs.87.61, positioned in the lower-middle range of the sensitivity table.

5.2 Two-Way Sensitivity: WACC vs. Terminal EBITDA Margin

Table 6: Implied Share Price (Rs.) — WACC vs. Terminal EBITDA Margin

Term. Margin ↓ / WACC →	11.0%	11.5%	12.0%	13.0%	14.0%	15.0%
10.0%	Rs.88.85	Rs.81.99	Rs.76.13	Rs.66.63	Rs.59.27	Rs.53.41
12.0%	Rs.110.78	Rs.101.35	Rs.93.31	Rs.80.38	Rs.70.46	Rs.62.64
13.5%	Rs.127.22	Rs.115.86	Rs.106.20	Rs.90.70	Rs.78.86	Rs.69.57
16.0%	Rs.154.62	Rs.140.04	Rs.127.67	Rs.107.89	Rs.92.85	Rs.81.11
20.0%	Rs.198.47	Rs.178.73	Rs.162.03	Rs.135.39	Rs.115.24	Rs.99.57

The Base Case assumption of 13.37% terminal EBITDA margin yields an implied share price of *Rs.87.61* at 13.02% WACC. If terminal margins improve to 16.0%, the implied share price increases to *Rs.107.89*, representing a 23% upside. Conversely, if margins compress to 10.0%, the implied share price declines to *Rs.66.63*, a 24% downside.

6. Key Value Drivers and Risk Factors

6.1 Primary Value Drivers

- **Revenue Growth in Quick Commerce:** The fastest-growing segment, Quick Commerce (Blinkit) is projected to grow from *Rs.5,206 Cr* in FY26E to *Rs.101,066 Cr* in FY35E, representing a 40% CAGR. This segment represents approximately 45% of total revenue by FY35E. Key drivers include market share gains in the 10-minute delivery category, geographic expansion, and customer acquisition at scale.
- **Profitability Inflection in Hyperpure:** Hyperpure is projected to achieve *Rs.63,764 Cr* in revenue by FY35E with 5.0% EBITDA margins, contributing approximately *Rs.3,188 Cr* in EBITDA. Success depends on achieving scale in supplier consolidation and improving logistics efficiency.
- **Food Delivery Margin Expansion:** EBITDA margins are projected to improve from 19.1% to 25.0%, reflecting operational leverage, improved unit economics, and reduced customer acquisition costs as the market matures. This segment's stability and profitability make it a reliable cash flow generator.
- **Capital Efficiency:** The model assumes declining capital intensity as the business matures, with capital expenditures declining as a percentage of revenue. This reflects the platform nature of Zomato's business model, which requires less capital than traditional logistics or retail operations.

6.2 Key Risk Factors

- **Competitive Intensity:** Intense competition from Swiggy (Food Delivery) and Amazon/Flipkart (Quick Commerce) could pressure growth rates and margins, delaying profitability inflection and requiring higher customer acquisition spending.
- **Regulatory and Compliance Risks:** Evolving regulatory environments around labour laws, food safety, and e-commerce policies could increase compliance costs and operational complexity. Restrictions on delivery models or pricing could impact business viability.
- **Macroeconomic Sensitivity:** Zomato's business is sensitive to consumer spending patterns and discretionary income levels. Economic downturns could reduce order frequency and average order values, particularly in Food Delivery.
- **Technology and Execution Risks:** The success of Quick Commerce and Hyperpure depends on sophisticated logistics networks. Execution challenges, technology failures, or supply chain disruptions could impact growth and profitability.

- **Unit Economics Deterioration:** If unit economics in Quick Commerce fail to improve as projected, or if customer acquisition costs remain elevated, the profitability inflection assumed in the model may not materialise.

7. Comparative Valuation Context

7.1 Implied Multiples Analysis

The Base Case valuation yields the following implied multiples:

Table 7: Implied EV Multiples — Base Case

Metric	FY26E	FY35E
EV / Revenue	2.1×	0.3×
EV / EBITDA	29.2×	2.2×
P/E (implied, on FCFF basis)	N/M	6.6×

These multiples reflect Zomato’s position as a high-growth platform company with improving profitability. The near-term EV/EBITDA multiple of 29.2× reflects the company’s growth premium and the market’s expectations for margin expansion. By FY35E, as the company matures, the EV/EBITDA multiple compresses to 2.2×, reflecting a more mature operational profile.

8. Conclusions and Investment Implications

8.1 Valuation Summary

The DCF analysis presents a wide range of valuation outcomes across three scenarios, reflecting the inherent uncertainty in forecasting Zomato’s long-term financial performance. The Base Case implied share price of *Rs.87.61* suggests the current market price of *Rs.251* incorporates significant premium valuations relative to the model’s assumptions. This premium could reflect: (1) market expectations that exceed the model’s assumptions, (2) strategic value or optionality not captured in the DCF framework, or (3) overvaluation.

The Optimistic Case, which yields an implied share price of *Rs.287.17*, would require successful execution of aggressive growth targets and margin expansion across all segments. The Pessimistic Case, yielding an implied share price of *Rs.25.08*, represents a severe downside scenario that would only materialise under adverse conditions including competitive losses, regulatory challenges, or macroeconomic deterioration.

8.2 Key Takeaways

- **Valuation Sensitivity:** A 100 bps change in WACC or terminal growth rate can move the implied share price by 10–15%, underscoring the importance of assumption validation.

- **Growth vs. Profitability Trade-off:** The model reflects a critical trade-off between near-term growth investments (resulting in negative cash flows through FY28E) and long-term profitability. The success of this strategy depends on achieving the projected margin expansion and maintaining competitive positioning.
- **Multi-Scenario Framework:** Given the wide range of potential outcomes, investors should consider the full distribution of scenarios rather than relying solely on the Base Case. The Optimistic and Pessimistic cases provide important context for understanding downside and upside risks.
- **Execution Risk:** Valuation outcomes are highly dependent on management's ability to execute on growth initiatives, particularly in Quick Commerce and Hyperpure, while simultaneously improving profitability in core segments.

A. Model Assumptions and Calculations

A.1 WACC Calculation Details

Base Case WACC Calculation:

$$\begin{aligned}\text{Cost of Equity (CAPM)} &= R_f + \beta \times \text{ERP} \\ &= 7.0\% + 0.90 \times 6.0\% = 12.40\%\end{aligned}\tag{1}$$

$$\text{After-tax Cost of Debt} = 9.0\% \times (1 - 25.17\%) = 6.73\%\tag{2}$$

$$\begin{aligned}\text{WACC} &= (99.15\% \times 12.40\%) + (0.85\% \times 6.73\%) \\ &= \mathbf{13.02\%}\end{aligned}\tag{3}$$

A.2 Terminal Value Calculation

Base Case Terminal Value:

$$\text{Terminal Year FCFF} = \text{FY35E FCFF} \times (1 + g) = \text{Rs.13,811.4 Cr}\tag{4}$$

$$\text{Terminal Value} = \frac{\text{Terminal Year FCFF}}{\text{WACC} - g} = \frac{13,811.4}{13.02\% - 5.0\%} = \text{Rs.172,186.3 Cr}\tag{5}$$

$$\text{PV of Terminal Value} = \frac{172,186.3}{(1.1302)^{10}} = \text{Rs.50,629.1 Cr}\tag{6}$$

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